IN THE NATIONAL COMPANY LAW TRIBUNAL

KOLKATA BENCH

KOLKATA

CP (CAA) NO. 528/KB/2019
Connected with
CA (CAA) NO. 129/KB/2018

In the matter of:

The Companies Act, 2013

And

In the matter of:

A Petition under Section 230 to 232 and other applicable provisions of the Companies Act, 2013

And

In the matter of:

Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

And

In the matter of:

JKS Infrastructure Private Limited, a Company incorporated under the provisions of the Companies Act, 1956 and having its Registered Office at P-4, Black Bourn Lane, 3rd Floor, Kolkata-700012 in the State of West Bengal within the aforesaid jurisdiction.

And

In the matter of:

Values Spaces Realtors Private Limited, a Company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at P-4 Black Burn Lane 3rd Floor Kolkata 700012 in the State of West Bengal within the aforesaid jurisdiction;

And

In the matter of:

Value Spaces Logistics & Industrial Park Polivakkam Private Limited, a Company incorporated under the provisions of the Companies Act, 2013 and having its Registered Office at P-4 Black Burn Lane 3rd Floor Kolkata 700012 in the State of West Bengal within the aforesaid jurisdiction;

And

In the matter of:

1. JKS Infrastructure Private Limited;
2. Values Spaces Realtors Private Limited;
3. Values Spaces Logistics & Industrial Park Polivakkam Private Limited

...Petitioners

Coram:

Shri Madan B. Gosavi, Member (Judicial)

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Counsels on Record:

For RD (ER) MCA

1. Mr. Ajit Kumar Singh, Assistant Director

For Petitioners

2. Mrs. Manju Bhuteria, Advocate
3. Mr. Madan Kumar Maroti, FCA
4. Mr. M. Gurumurthy, FCA

Date of pronouncement of Order: 20/06/2019

ORDER

Per Madan B. Gosavi, Member (Judicial)

1. This joint Petition has been filed by **JKS Infrastructure Private Limited**, the Petitioner No.1, (hereinafter referred to as **JIPL** or **Demerged Company**), **Values Spaces Realtors Private Limited**, the Petitioner No. 2 above named (hereinafter referred to as **VSRPL** or **Resulting Company No. 1**) and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited**, the Petitioner No.3 above named (hereinafter referred to as **VSLIPPPL** or **Resulting Company No.2**).

2. The object of this Petition is to obtain the sanction of the Scheme of Arrangement among the above noted Petitioners whereby and where under the entire undertaking of the **Warehousing Division- Gurugram** of **JKS Infrastructure Private Limited** and **Warehousing Division-Chennai** of **JKS Infrastructure Private Limited** together with all assets and liabilities relating thereto ongoing concern are proposed to be transferred to and vested in the **Values Spaces Realtors Private Limited** and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited** respectively with appointed

date being 1st November, 2018 on the term and conditions fully stated in the Scheme of Arrangement a copy whereof is annexed to the Petition and marked as **Annexure-A.**

3. The Board of Directors of the Demerged Company and the Resulting Companies have at their respective Board Meeting held on 3rd November, 2018 passed resolution approving the Scheme of Arrangement proposed to Demerger of **Warehousing Division- Gurugram** and **Warehousing division - Chennai** of **JKS Infrastructure Private Limited** by transferring to and vesting in **Values Spaces Realtors Private Limited** and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited.** A copy each of the said Board Resolutions is annexed to the Petition and marked as **Annexure-P.**

4. It is stated in the Petition that the reasons that necessitated scheme of Arrangement & Benefits sought to be achieved are, *inter alia,* as follows:

a) The Demerged Company and the Resulting Companies are both into real estate business. The Demerger of business of Warehousing Division-Gurugram and Warehousing Division-Chennai of the Demerged Company and transfer and vesting of the same in the Resulting Companies will enable the Resulting Companies to carry on the business more efficiently as it is already into similar business.

b) As part of an overall scheme of Arrangement, the management of the Demerged Company and Resulting Companies has concurred on a plan whereby Warehousing Division-Gurugram and Warehousing division-Chennai of the Demerged Company will be Demerged to and vested with the Resulting Companies.

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c) The management of the Demerged Company is of the opinion that the arrangement will enable it to lend greater focus to the operations of remaining business in the undertaking.

d) The Board of Directors of the Resulting Companies and Demerged Company are of the opinion that the restructuring involving merger and demerger would benefit their Shareholders, Creditors, Employees, the Companies concerned and general public.

5. It is stated in the Petition that upon coming into effect of the Scheme of Arrangement the Demerged Company shall record exit off **Warehousing Division-Gurugram** and **Warehousing Division- Chennai** of the Demerged Company and the corresponding value in relation thereto shall be reduced from balance lying credit in Securities Premium Account.

6. It is stated in the Petition that the present Scheme of Arrangement does not contain or provide for Corporate Debt Restructuring. The Demerged Company as well as the Resulting Companies have never issued nor agreed to issue any debenture. It is further stated in the Petition that the Scheme does not contain nor does it provide for any compromise with any creditors of the Resulting Companies and the Demerged Company. The right and interest of the Creditors of the Resulting Companies and Demerged Company shall continue to remain protected by the Scheme.

7. It is stated in the Petition that the Petitioner Companies have made due provisions for payment of all liabilities as and when the same fell due.

8. It is stated in the Petition that the list of Equity Shareholders of the Demerged Company and Resulting Companies as on 31st October, 2018 have been duly certified by the Statutory Auditors of the Petitioner Companies which is annexed to the Petition and marked as **Annexure I.** The list of

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Secured Creditors and Unsecured Creditors in respect of Demerged Company as on 31st October, 2018 duly certified by the statutory auditors of the Demerged Company is annexed to the Petition and marked as **Annexure J.** It is further stated in the Petition that Nil Secured Creditors and List of Unsecured Creditors in respect of Resulting Companies as on 31st October, 2018 duly certified by the statutory auditors of the Resulting Companies is annexed to the Petition and marked as **Annexure-K.**

9. It is stated in the Petition that as no meeting was directed there was no requirement for publication of advertisement in the dailies.

10. It is stated in the Petition that Copy of Report of valuation of shares of Demerged Company and Resulting Companies prepared by independent firm of Chartered Accountant for arriving at fair Exchange Ratio and the Certificate of Statutory Auditors of the Demerged Company and Resulting Companies that the Scheme is in conformity with the Accounting Standards prescribed under section 133 of the Companies Act, 2013 are annexed to the Petition and marked as **Annexure-N** and **Annexure-O** respectively.

11. It is stated in the Petition that there are no proceedings pending under section 235 to 251 of the Companies Act, 1956 and Section 217, 291, 221, 224 and 225 of the Companies Act, 2013 against any of the Petitioner Companies.

12. It is further stated in the Petition that the Hon'ble Tribunal vide its order passed on 12th February, 2019 in Company Application No. C.A.(CAA) No. 129/KB/2019 has recorded that:

a) In view of the consents given in affidavit form by all the Shareholders of the Demerged Company and in the Resulting Companies, the requirement of convening and holding separate meetings of the shareholders of the Applicant Companies are dispensed with.

b) In view of the consent given in affidavit form by all the Secured Creditors of the Demerged Company the requirement of convening and holding of separate meetings of the Secured Creditors of the Demerged Company are dispensed with.

c) In view of the consents given in Affidavit form by 90.26% of the Unsecured Creditors of the Demerged Company the requirement of convening and holding of separate meetings of the Unsecured Creditors of the Demerged Company are dispensed with.

d) In view of the fact that the Resulting Companies have Nil Secured Creditors verified by Auditors Certificate, the requirement of convening and holding meeting of Secured Creditors of the Resulting Companies does not arise.

e) In view of the consents given in the affidavit form by all Unsecured Creditors of the Resulting Companies are dispensed with.

13. It is stated in the Petition that the pursuant to the said Order passed by the Hon'ble Kolkata Bench of the Tribunal dated 12th February, 2018 in Company Application No. C.A. (CAA) No. 129/KB/2018 the Petitioner Companies have served a copy of the application together with a copy of the said Order upon the Income Tax authorities having jurisdiction over the affairs of the Petitioner Companies, Central Government, Regional Director Eastern Region, Ministry of Corporate Affairs, Registrar of Companies West Bangal and Official Liquidator, Calcutta High Court and Reserve Bank of India. It is further stated that the Petitioner Companies have filed affidavit of compliance before the Hon'ble Bench evidencing compliance of directions. Copy of the affidavit filed together with a copy of forwarding letter is annexed to the Petition and marked as **Annexure-M.**

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14. Upon compliance of the said Order and upon application, the date of hearing of Petition for sanction of the Scheme was fixed on 14.06.2019 vide Order dated 02.05.2019. The Petitioners were also directed, *inter alia,* to advertise the notice of hearing in form 3A once in English daily "Financial Express" and in Bengali "Aajkal" not less than 10 days before the aforesaid date fixed for hearing. The Petitioner had filed an Affidavit affirmed on 24.05.2019 stating that the order dated 02.05.2019 was complied with, they have also annexed the relevant newspapers containing the publication among other documents.

15. The Regional Director, Eastern Region, Ministry of Corporate Affairs has submitted, vide his affidavit affirmed on 13.06.2019, which is on record. The observations of the Central Government on the scheme is as under:

a) *That it is submitted that the Registrar of Companies, West Bengal in his report dated 08/04/2019 stated that as per available records, Prosecution Case No. C/9979/2014 under section 205 C of the Companies Act, 1956 is pending against M/s JKS Infrastructure Private Limited. Further, the Resulting Company No. 1 and Resulting Company No .2 were incorporated on 04/09/2019 and 17/10/2018 respectively and no allotment of shares has been filed with ROC, hence the paid up capital shown in the Scheme is not verifiable from the records of ROC.*

b) *In Part VI to the Scheme it is stated that "the excess or deficit, if any, after recording the aforesaid entries shall be treated by the Resulting Company No.1 in accordance with the process as mentioned in AS-14 issued by the Institute of Chartered Accountants of India and other normally accepted accounting principles "and "the excess or deficit, if any, after recording the aforesaid entries shall be treated by the Resulting Company No.2 in accordance with the process as mentioned in AS-14*

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issued by the Institute of Chartered Accountants of India and other normally accepted accounting practice to be followed pursuant to the Scheme. In the Accounting Standard-14 nothing is provided regarding accounting treatment of difference between the value of assets received by a Resulting Company and the consideration the Company shall issue, in the case of a Demerger. Nothing is elaborated in the Scheme regarding what are the particular normally accepted accounting principles to be followed in the matter. Hence the Scheme is incomplete and misleading.

c) *Clause-15 of Part-IV of the Scheme tantamount to buy back of Shares. But nothing stated about manner of compliance of section 68 made in respect of payment of money to Shareholders of transferor companies against fractional share entitlements, contrary to the provisions of section 230(10) of the Companies Act, 2013.*

d) *It is submitted that as per instruction of Ministry of Corporate Affairs, New Delhi, a copy of Scheme was forwarded to the Income Tax Department on 18/03/2019 with a request to forward their comments/observations/objections, if any. However, the same is still awaited.*

16. In response the abovesaid observations of the Regional Director, Eastern Region, Ministry of Corporate Affairs, the Petitioner Companies through their Reply Affidavit affirmed on 13.06.2019 submitted the following parawise reply:

a) *It is a Scheme of arrangement. JKS Infrastructure Private Limited is a Demerged Company. The Demerged Company will continue to exist even after the Demerger process has been Completed. Hence the prosecution launched by the Registrar of Companies against Demerged Company can Continue even after the Scheme is sanctioned.*

As regards the Resulting Company No.1 and the Resulting Company No.2 they are newly incorporated Companies and have not issued any shares after incorporation.

b) *AS-14 deals with Accounting for Amalgamations. The Resulting Company No.1 and Resulting Company No.2 will follow the accounting practice that is usually followed in similar cases by other business enterprises in consultation with their statutory auditors and other accounting experts before passing any entries in its books.*

c) *Notwithstanding anything to the contrary the Board of Directors of the Resulting Company No.1 and Resulting Company No.2 undertakes that in the event any fractional shares arises to any shareholder of the Demerged Company then in such event they shall round off such fractional entitlement of the said shareholder to the next higher integer.*

d) *The office of the Regional Director has not received any observation from the Income Tax Department pursuant to service of copy of notice upon them on 14/03/2019. The Applicant Companies have also served notices upon the Income Tax Authorities pursuant to the directions contained in the orders passed by the Hon'ble Tribunal in Company Application and also in the Company Petition as have received no observations from them.*

17. The Official Liquidator attached to the Hon'ble High Court Calcutta vide report dated 13.06.2019 has observed as follows:

"...the said scheme of demerger of warehousing division of Gurugram of JKS Infrastructure Private Limited and warehousing division of Chennai of JKS Infrastructure Private Limited to Value Spaces Logistics & Industrial Park Polivakkam Private Limited and at the same time no company will be dissolved without winding up as per the scheme of arrangements. Accordingly, the undersigned has no comment on the said scheme of Arrangements (Demerger).

Accordingly, the undersigned is unable to file the report in respect of the Transferor Companies and has no comments on the said Scheme of Arrangements (Demerger)."

18. Heard the arguments of the Ld. Counsel for the Petitioner Companies and the Ld. Joint Director, Office of the Regional Director, Eastern Region, Ministry of Corporate Affairs Kolkata.

19. In view of the facts stated above and considering the observations made by the said Regional Director and the Reply thereto by the Companies, I am of the view that the proposed Scheme does not seem to be contrary to the public policy, nor prejudicial to the interest of its shareholders or detrimental to public interest at large. In addition to the above, all statutory compliance have been complied with or further undertaken for making compliance by the Petitioner Companies. Therefore, the present Company Petition deserves to be allowed. It is left open to the official authorities to take appropriate action in this regard. As such, the following order in terms of prayers made in the Petition, are passed:

ORDER

a) The **Scheme of Arrangement,** being **Annexure-A** to the Petition is sanctioned by this Tribunal which is to be binding on **Values Spaces Realtors Private Limited, Value Spaces Logistics & Industrial Park Polivakkam Private Limited, JKS Infrastructure Private Limited** and their respective shareholders with effect from **1st of November, 2018.**

b) All the properties, rights and interest in relation to **Warehousing Division-Gurugram** of **JKS Infrastructure Private Limited** and **Warehousing Division-Chennai** of **JKS Infrastructure Private Limited** shall stand transferred to and vested in without any further act or deed in **Values Spaces Realtors Private Limited** and **Value**

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Spaces Logistics & Industrial Park Polivakkam Private Limited respectively, pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 for all the estate and interest of **Warehousing Division-Gurugram** of **JKS Infrastructure Private Limited** but subject to all the charges existing in relation to **Warehousing Division-Gurugram** and **Warehousing Division- Chennai** respectively, now affecting the same.

c) All the liabilities and duties in relation to **Warehousing Division-Gurugram** of **JKS Infrastructure Private Limited** and **Warehousing Division-Chennai** of **JKS Infrastructure Private Limited** shall stand transferred to and vested in without any further act or deed in **Values Spaces Realtors Private Limited** and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited** respectively, pursuant to Section 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 be transferred to and become the liabilities and duties of **Values Spaces Realtors Private Limited** and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited** respectively.

d) All the proceedings and/or suits and/or appeals now pending by or against the **Warehousing Division- Gurugram** of **JKS Infrastructure Private Limited** and **Warehousing Division-Chennai** of **JKS Infrastructure Private Limited** shall stand transferred to and continued by or proceeded against **Values Spaces Realtors Private Limited** and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited** respectively.

e) **Values Spaces Realtors Private Limited** and **Value Spaces Logistics & Industrial Park Polivakkam Private Limited** do issue and allot shares to the shareholders of **JKS Infrastructure Private Limited** as envisaged in the Scheme of Arrangement and for that, if necessary, to increase the authorised share capital.

f) Leave is granted to file the schedule of assets in relation to **Warehousing Division-Gurugram** and **Warehousing Division-Chennai** being **Annexure-A** and **Annexure-B** respectively to the Scheme of arrangement be filed within a period of 60 days from the date of the order by **JKS Infrastructure Private Limited** to be made herein.

g) The Petitioner Companies respectively shall within 30 days after obtaining a certified copy of this order to be delivered to the Registrar of Companies, West Bengal for registration.

h) Any person interested be at liberty to apply to this Tribunal in the above matter for such directions as may be necessary.

20. The Petition CP (CAA) NO. 528/KB/2019 connected with CA (CAA) NO. 129/KB/2018 is disposed of accordingly.

21. Urgent certified copies of this order, if applied for, be supplied to the parties upon compliance of all requisite formalities.

SD 20/6/2019

(M. B. Gosavi)

Member (Judicial)

Signed on this 28th day of June, 2019.